Practice workbook · Effects of unemployment on the economy, government and confidence

Effects of unemployment (or falling unemployment) on output, resources, poverty, benefit spending, tax revenue, confidence and society.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-12

1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

3 (a) Kenyans who holiday in South Africa would be shown on the Kenyan current account as

(1)

- ☒ **A** an invisible import
- ☒ **B** a visible export
- ☒ **C** a visible import
- ☒ **D** an invisible export

(b) Which **one** of the following is an example of an indirect tax?

(1)

- ☒ **A** Inheritance tax
- ☒ **B** Income tax
- ☒ **C** Business tax
- ☒ **D** Value added tax

(c) Explain **one** way a government could reduce inequality and poverty.

(3)

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1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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In December 2017, Argentina's Consumer Price Index (CPI) increased from 20.9% to 25%.

(d) Analyse the possible impact of high inflation on consumers in a country such as Argentina.

(6)

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1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

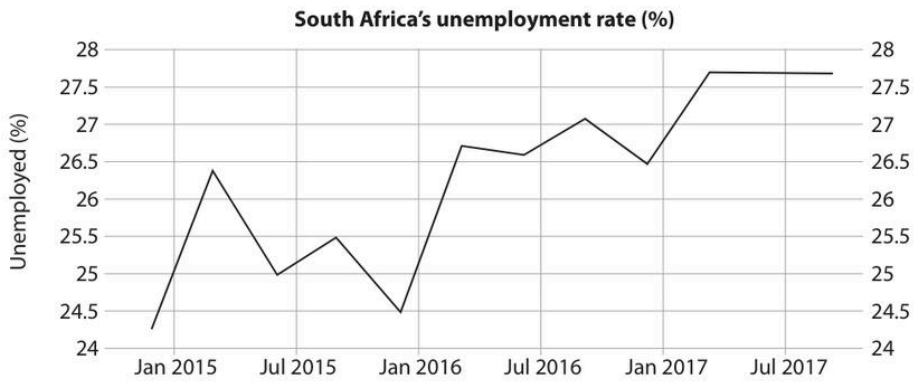


Figure 3

In 2017, unemployment in South Africa reached its highest level in 13 years at 27.7%. Concerns have been expressed about the very high levels of youth unemployment and the social problems this might cause. Statistics show that 39% of all unemployed South Africans have never worked before and for young people this figure is even higher, at 60.3%.

(e) With reference to the data above and your knowledge of economics, assess the impact of high rates of unemployment on a country such as South Africa.

(9)

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1. Question 3 · part e · 9 marks

2019 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part e only.

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(Total for Question 3 = 20 marks)

1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

3 (a) What is the name given to a country's exports and imports of physical goods?

(1)

- ☒ **A** Trade in goods
- ☒ **B** Income flows
- ☒ **C** Trade in services
- ☒ **D** Transfer payments

(b) What term refers to a firm or country selling an export below the cost of production?

(1)

- ☒ **A** Quotas
- ☒ **B** Dumping
- ☒ **C** Deregulation
- ☒ **D** Tariffs

(c) Explain **one** method of government intervention that could be used to protect the environment.

(3)

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

(d) Analyse the possible impact of unemployment on an economy.

(6)

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

Turkey's inflation rate (%)



Figure 3

Inflation remains a major problem for Turkey's economy. Annual inflation in Turkey increased to 11.9% in October 2017. The highest price rises were for transportation, which rose by 16.79% and food, which increased by 12.74%.

(e) With reference to the data above and your knowledge of economics, assess the impact of inflation on a country such as Turkey.

(9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

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2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

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(d) What is meant by the term infrastructure?

(2)

3. Question 2 · part e · 3 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part e only.

In 2018 the average number of job seekers in Germany decreased by 0.5% to 5.2% and was lower than at any time since 1991.

(e) Explain **one** impact of falling unemployment rates on tax revenue for a country such as Germany.

(3)

In December 2018, consumers in the UK were warned to avoid some imported plastic toys because they contained banned chemicals. Many were being sold through online marketplaces.

(f) Explain **one** reason why UK consumers need protecting from some imported goods.

(3)

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3. Question 2 · part e · 3 marks · Working and answer

Working and answer

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4. Question 2 · part e · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

2 (a) An appreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** An increase in exports and a decrease in imports
- ☒ **B** A decrease in exports and a decrease in imports
- ☒ **C** An increase in exports and an increase in imports
- ☒ **D** A decrease in exports and an increase in imports

(b) Which **one** of the following is likely to result in poverty?

(1)

- ☒ **A** High literacy rates
- ☒ **B** Low GDP per capita
- ☒ **C** Low rates of tax
- ☒ **D** High employment rates

(c) State **one** effect on the balance of payments of improved quality of foreign goods.

(1)

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(d) What is meant by the term free trade?

(2)

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4. Question 2 · part e · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part e only.

In the first quarter of 2019 the unemployment rate in Argentina increased by 1% to 10.1%. This was the highest level in 13 years.

(e) Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina.

(3)

Approximately 12% of goods traded globally are via international e-commerce. Tens of millions of small and mid-size firms worldwide have become exporters by joining e-commerce marketplaces such as Alibaba and Amazon.

(f) Explain **one** reason why the reduced cost of communication has helped to increase globalisation.

(3)

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Turn over ▶

4. Question 2 · part e · 3 marks · Working and answer

Working and answer

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5. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) A depreciation in a country's exchange rate is most likely to lead to which **one** of the following?

(1)

- ☒ **A** Lower inflation
- ☒ **B** Higher exports
- ☒ **C** Increased unemployment
- ☒ **D** Increased budget surplus

(b) Which **one** of the following terms may refer to someone having a lower standard of living in comparison to the average person in society?

(1)

- ☒ **A** Absolute poverty
- ☒ **B** Income distribution
- ☒ **C** Relative poverty
- ☒ **D** Poverty trap

(c) State **one** effect on the balance of payments of improved quality of domestic goods.

(1)

(d) What is meant by the term fiscal policy?

(2)

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5. Question 2 · part e · 3 marks

2021 NOV · Paper 02

Further practice · Attempt part e only.

In December 2019 the unemployment rate in Venezuela was approximately 44%.
This was much higher than the previous December's figure of 35%.

(e) Explain **one** impact of increasing unemployment rates on business confidence in a country such as Venezuela.

(3)

By volume, 90% of world trade of goods are transported by sea in containers. There are 5,000 container ships in the world and the largest carries more than 20,000 containers. It now costs only $0.05 to ship a t-shirt across the world from low-cost countries such as Vietnam.

(f) Explain **one** reason why the reduced cost of transport has helped to increase globalisation.

(3)

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Turn over ▶

5. Question 2 · part e · 3 marks · Working and answer

Working and answer

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6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 Figure 4 shows the change in gross domestic product (GDP) per capita for Vietnam.

	2018	2019
GDP per capita US$	2 590	2 715

Figure 4

(Source adapted from: https://www.ceicdata.com/en/indicator/vietnam/gdp-per-capita)

(a) Calculate, to two decimal places, the **percentage increase in GDP per capita** between 2018 and 2019. You are advised to show your working.

(2)

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6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Figure 5 shows Vietnam's quarterly unemployment rate (%) 2017–2019.

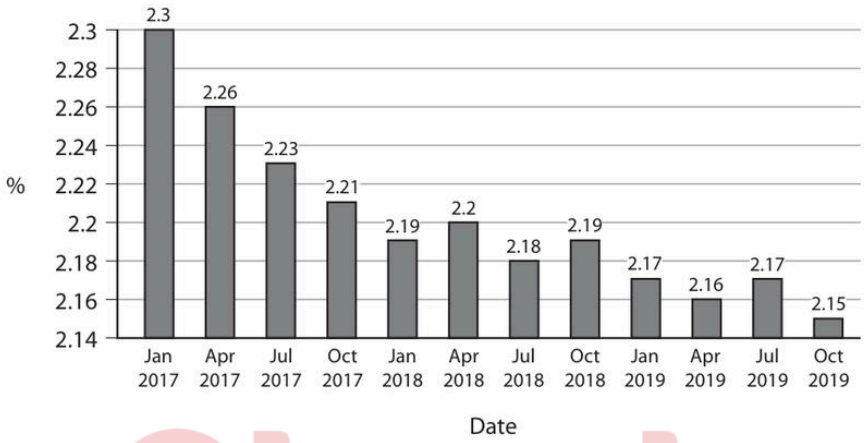


Figure 5

(Source: https://tradingeconomics.com/vietnam/unemployment-rate)

(b) With reference to the data above and your knowledge of economics, analyse the impact of falling unemployment rates on tax revenues for a country such as Vietnam.

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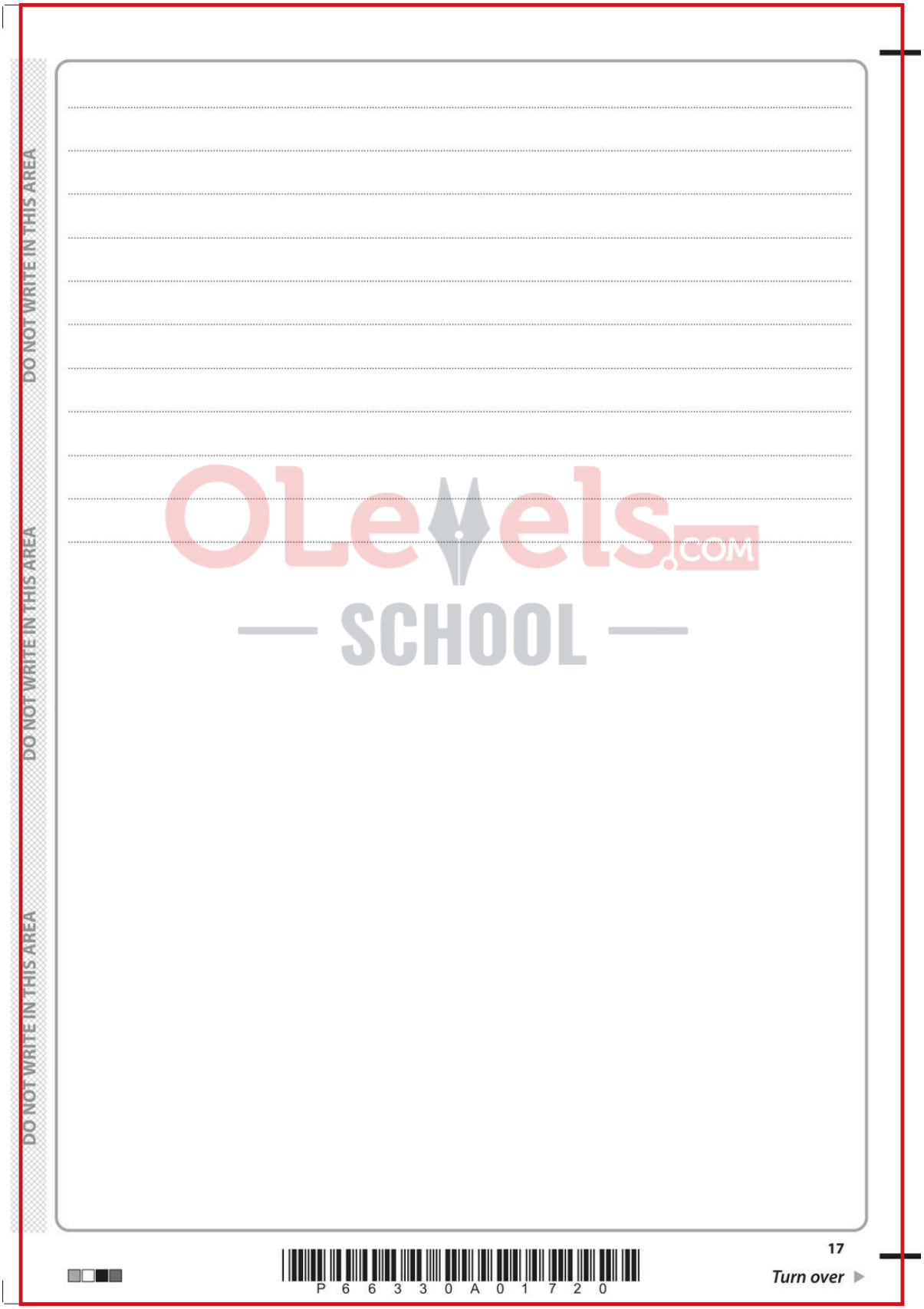
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6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.



6. Question 4 · part b · 6 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Vietnam is struggling with high levels of air pollution. Its two biggest cities, Hanoi and Ho Chi Minh City, are now among the 15 most polluted cities in Southeast Asia. Air pollution is particularly harmful to human health causing diseases including strokes, heart disease and respiratory infections. Up to 60,000 deaths in Vietnam in 2018 were related to air pollution. On average, poor air quality reduces life expectancy by one year and costs the country about 5% of GDP per year.

Among the main causes of this pollution is transportation. Vietnam now has 3.6 million automobiles and 58 million motorbikes, mostly found in big cities. Many of these vehicles are old, with limited emission control technology. They cause daily traffic jams and are responsible for a large amount of air pollution.

The Vietnamese Government is considering whether to increase the environmental tax on petrol and diesel by 33%. The proposed tax will generate $2.4 bn each year, an annual increase of $650.2 m from current tax revenues on fuels.

(Source adapted from: https://thediplomat.com/2020/03/vietnams-big-air-pollution-challenge/)

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of increasing taxation on petrol and diesel to protect the environment in a country such as Vietnam.

(12)

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6. Question 4 · part b · 6 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

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4 Figure 4 shows the $618 bn spent by India on existing infrastructure projects in 2019.

Existing infrastructure projects	$bn
Renewable energy	200
Railways	147
Roads and highways	109
Metro rail	109
Smart cities	32
Airports and ports	21
Total	**618**

Figure 4

(Source adapted from: https://www.businessinsider.in/Nearly-half-of-Narendra-Modis-1-4-trillion-new-infrastructure-promise-may-be-already-approved-projects/Existing-promises/slideshow/68795905.cms)

(a) Calculate, to two decimal places, **the percentage** of spending on all existing infrastructure projects that was spent on renewable energy in India in 2019.
You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

Figure 5 shows the average unemployment rate (%) in India between 2016 and April 2020.



Figure 5

(Source adapted from: https://www.statista.com/chart/20014/unemployment-rate-india/)

(b) With reference to the data above and your knowledge of economics, analyse the impact of rising unemployment rates on business confidence for a country such as India.

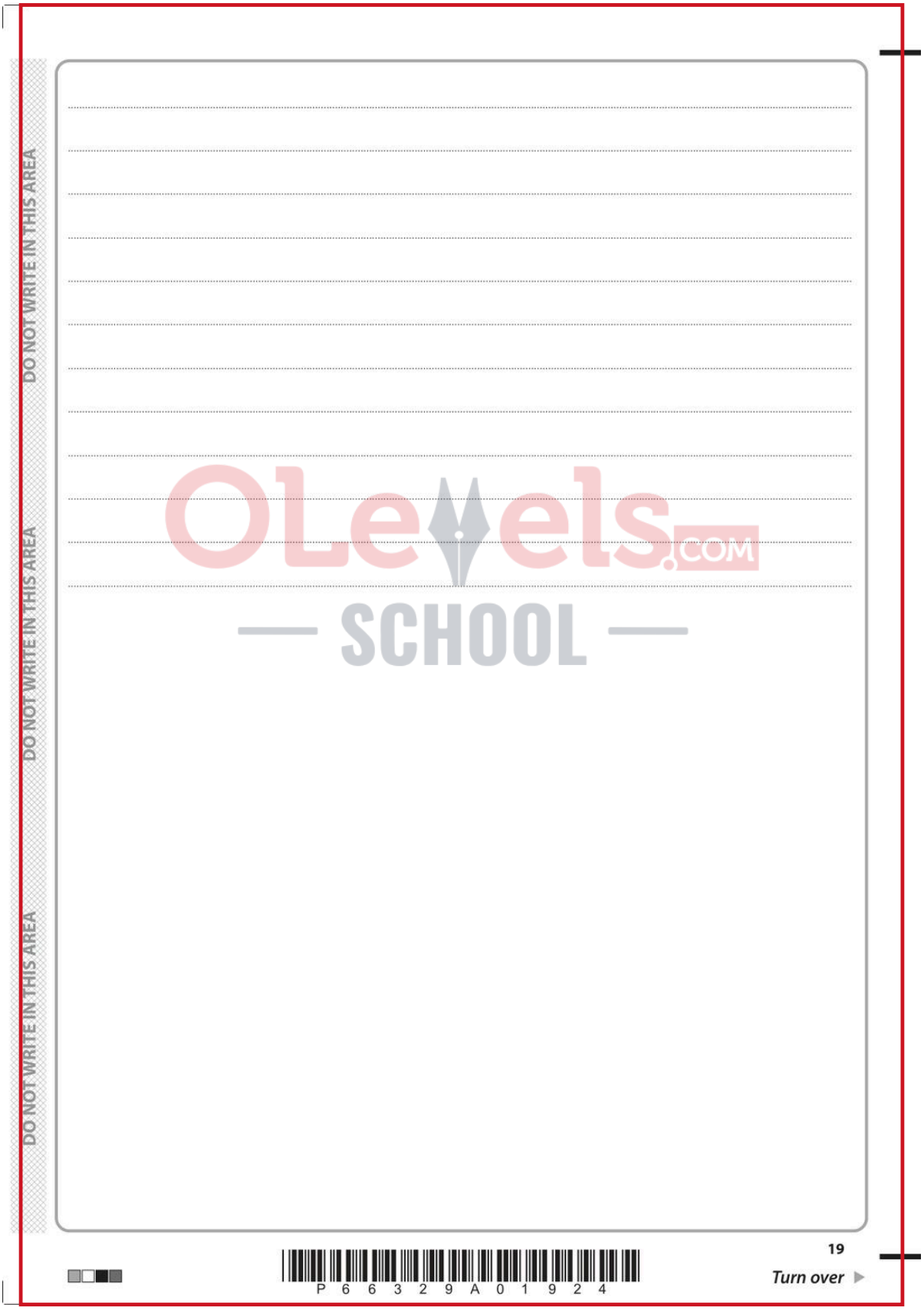
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7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.



7. Question 4 · part b · 6 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

The growth of India's gross domestic product (GDP) slowed to 4.5% in the quarter ending September 2019, the lowest point for 6 years. The fiscal deficit was 3.4% of GDP and was estimated to increase to 3.7% by 2020. This came at a time when the Prime Minister, Narendra Modi, announced plans to spend $1.5 trillion on infrastructure. The expenditure on these projects is expected to be 1.1% of GDP by 2025.

"Building new roads, rail links, airports and other social and economic infrastructure such as smart cities is essential for attracting investments and making India a $5 trillion economy," said Finance Minister Nirmala Sitharaman.

This spending on infrastructure will be a huge opportunity for Indian construction, road and cement companies such as GMR Group, Dilip Buildcon and Ultratech. Domestic steel prices are predicted to increase due to the higher demand from infrastructure projects.

Source adapted from: https://www.bloomberg.com/news/articles/2019-12-31/india-plans-1-5-trillion-infrastructure-spending-to-spur-growth

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of spending on infrastructure to increase total output in a country such as India.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 3 · part c · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

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3 (a) What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150?

(1)

- ☒ **A** 25%
- ☒ **B** 30%
- ☒ **C** 50%
- ☒ **D** 150%

(b) Which **one** of the following is an impact of globalisation?

(1)

- ☒ **A** Higher prices
- ☒ **B** Closing of traditional industries
- ☒ **C** Reduced choice
- ☒ **D** Increased cost of communication

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8. Question 3 · part c · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

In December 2020, the UK unemployment rate was 5.1%. This was an increase of 1.3% from September 2020.

(c) Explain **one** likely impact on UK tax revenue from rising unemployment rates.

(3)

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8. Question 3 · part c · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

Lithium is used in batteries to power various electrical and electronic goods including mobile phones and electric cars. Lithium has to be mined from the ground and large deposits are found in countries such as Chile. Lithium mining uses a lot of water – approximately 2 million litres per tonne of lithium.

(d) Analyse how business activity can damage the environment in a country such as Chile.

(6)

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8. Question 3 · part c · 3 marks · Working and answer

Working and answer

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9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

3 (a) What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year?

(1)

- ☒ **A** 0.95%
- ☒ **B** 1.05%
- ☒ **C** 4.76%
- ☒ **D** 5%

(b) Which **one** of the following terms means someone not having enough resources to meet all of their basic needs?

(1)

- ☒ **A** Income distribution
- ☒ **B** Relative poverty
- ☒ **C** Absolute poverty
- ☒ **D** Income inequality

In 2021, the US Government introduced a subsidy of $500 for each car manufactured in the US with a US-made battery.

(c) Explain **one** possible reason why the US Government introduced this subsidy.

(3)

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9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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The Regional Comprehensive Economic Partnership (RCEP) is the world's largest free trade agreement. It accounts for nearly 30% of global gross domestic product (GDP) and has 15 member countries.

(d) With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP.

(6)

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9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

Figures from the Office for National Statistics (ONS) showed that the unemployment rate in the North East of England increased to 5.3% in the three months to the end of October 2021.

Output fell significantly in this area of England and business confidence was severely harmed. There was some positive news with the number of people claiming unemployment benefits in the North East of England falling by around 3,500 to 87,780.

(Source: https://www.chroniclelive.co.uk/news/news-opinion/unemployment-rises-north-east-concerns-22452309)

(e) With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England.

(9)

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9. Question 3 · part e · 9 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

9. Question 3 · part e · 9 marks · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

3 (a) How many UK pounds (£) can be bought with $50 if the exchange rate is $1 = £0.75?

(1)

- ☒ **A** £25
- ☒ **B** £37.50
- ☒ **C** £66.66
- ☒ **D** £75

Many governments provide parks.

(b) Which **one** of the following is a reason for this provision?

(1)

- ☒ **A** To reduce the number of tourists
- ☒ **B** To reduce property values in the area
- ☒ **C** To reduce damage to the environment
- ☒ **D** To reduce space for leisure and recreation

South Korea had a current account surplus of $880m in October 2022.

(c) Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account.

(3)

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10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

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In December 2022, the US Federal Reserve raised interest rates for the seventh time that year to 4.5%, its highest level in 15 years. Interest rates are predicted to increase to 5.25% by the end of 2023.

(d) With reference to the data above and your knowledge of economics, analyse how monetary policy can help to reduce inflation in a country such as the US.

(6)

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10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.

In November 2022, the unemployment rate in Australia was 3.4%. The number of unemployed fell by 7,400 to 491,700. Employment increased by 64,000 to a new record of 13.77 million.

Unemployment remains at a near 50-year low as the recovering Australian economy faces a labour shortage. This is caused by a lack of migration and fewer short-term visa holders.

Australian Unemployment Rate (%) in 2022

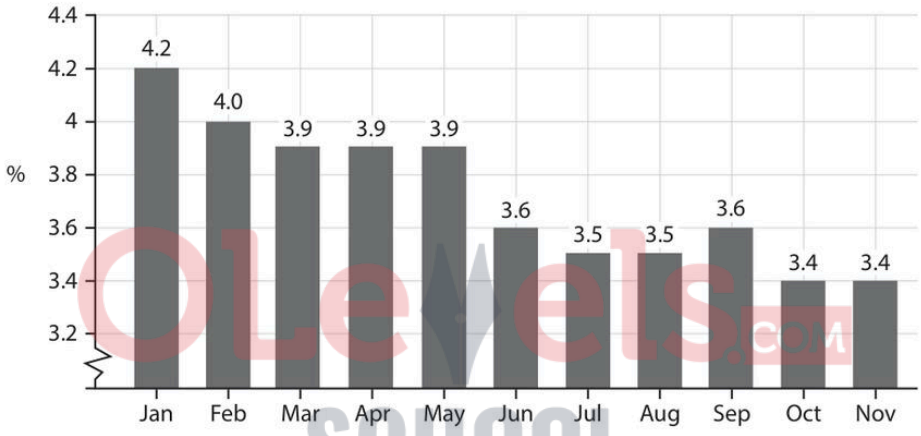


Figure 4

(e) With reference to the data above and your knowledge of economics, assess the possible benefits of low unemployment rates on tax revenues for a country such as Australia.

(9)

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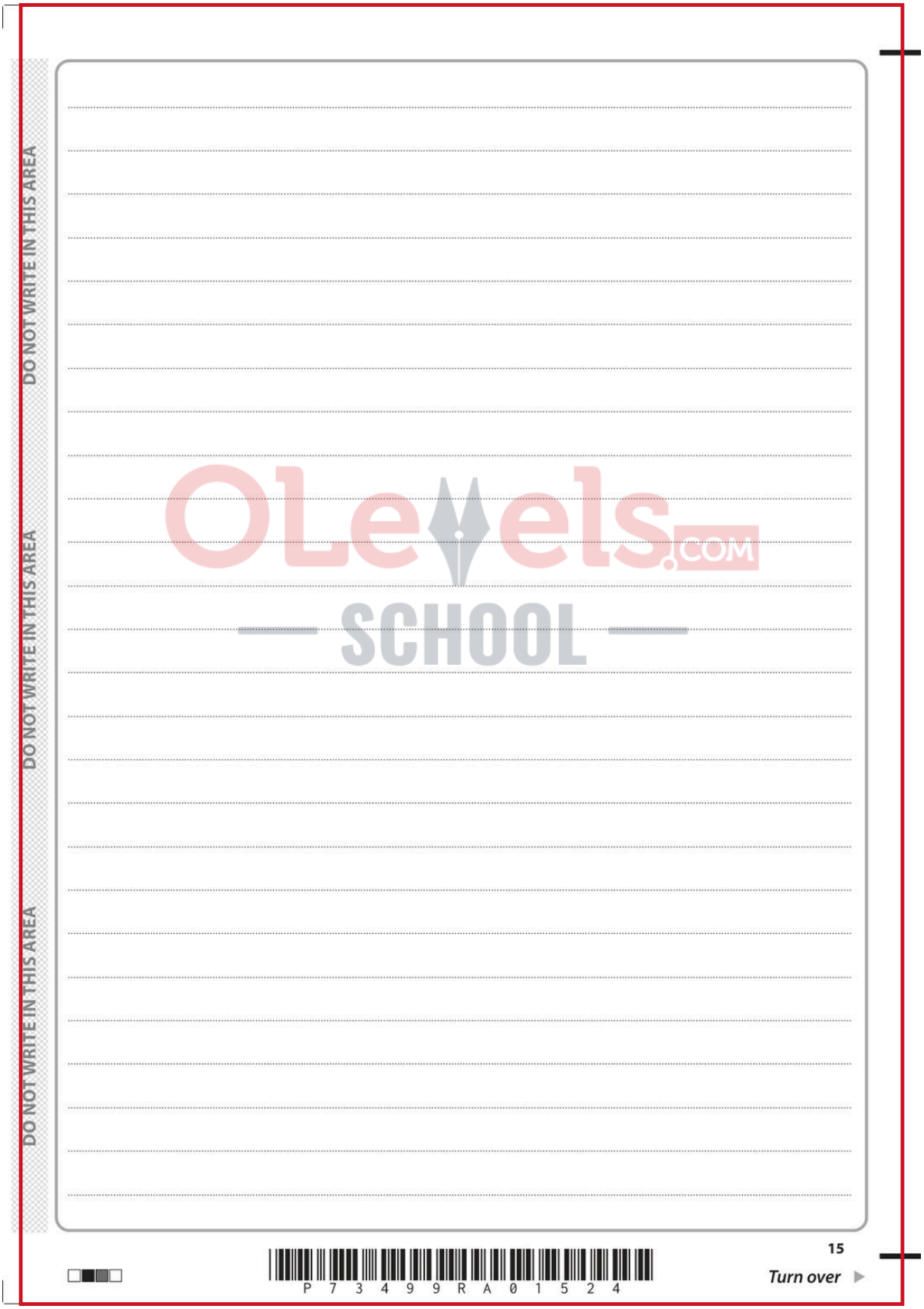
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10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

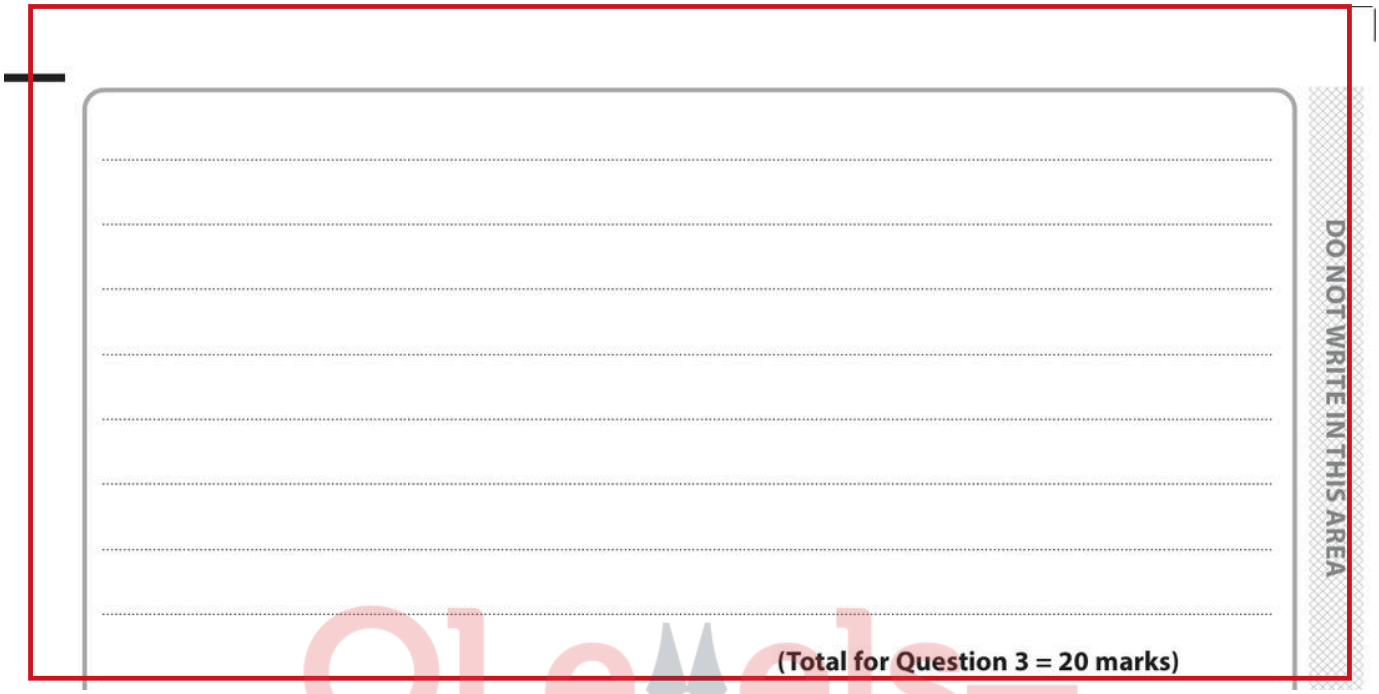
Further practice · Attempt part e only.



10. Question 3 · part e · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part e only.



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10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

(d) What is meant by the term economic growth?

(2)

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11. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

The Swedish economy has been in recession since 2023 and is expected to remain in recession until 2025. As a result, the demand for labour has fallen which has caused unemployment to increase.

(e) Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden.

(3)

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11. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

In 2024, the European Union (EU) increased the tariff on all electric vehicles imported from China from 10% to 37.6%.

(f) Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

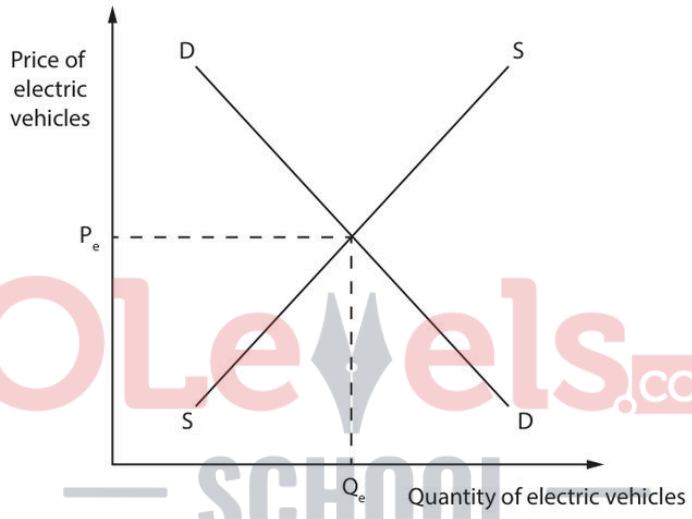


Figure 2

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P 7 8 9 6 3 A 0 1 0 2 8

11. Question 2 · part e · 3 marks · Working and answer

Working and answer

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